

Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Thesis



Post-Merge economics through issuance, burn, staking,
long-term equilibrium, and monetary premium.

CURRENT SUPPLY

121.6M ETH

121,603,980 ETH

BASE GAS

0.1 Gwei

historic low context

ETH PRICE

\$2,243

USD reference

AUDIENCE LENS

Investors

ETH as monetary asset

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

CURRENT SUPPLY

121,603,980

ETH total supply

NET 7-DAY CHANGE

+19,445.89

ETH added to supply

ANNUALIZED GROWTH

+0.83%

per year

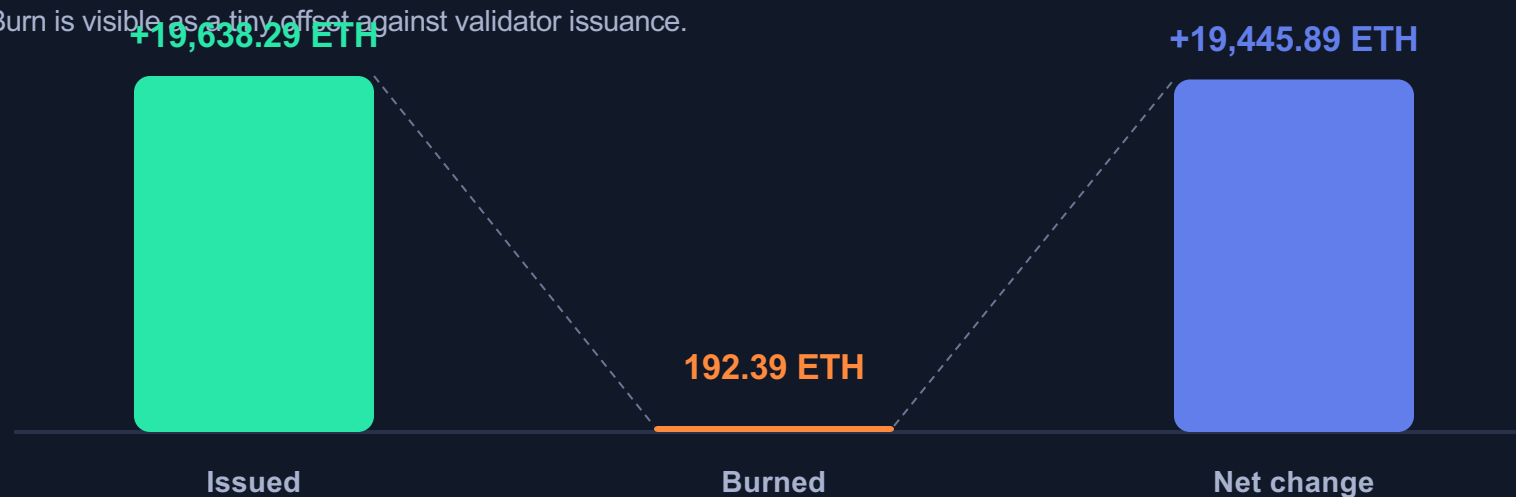
BURN OFFSET

0.01x

~1% of issuance

7-day issuance vs burn waterfall

Burn is visible as a tiny offset against validator issuance.



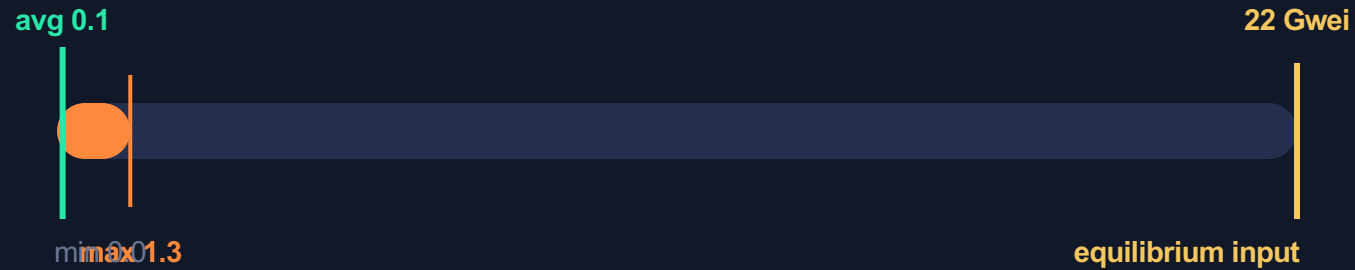
Interpretation

The burn mechanism is active, but current fee demand is too low to materially offset PoS issuance over the trailing week.

0.01x offset ratio

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

7-day gas range vs 22 Gwei equilibrium assumption



EIP-1559 destroys base fees; low gas means low burn.
Current activity is far below the long-term projection assumption.

Blob gas context

AVG BLOB GAS

7,144,934 wei

EIP-4844 data availability

BLOB FEES BURNED

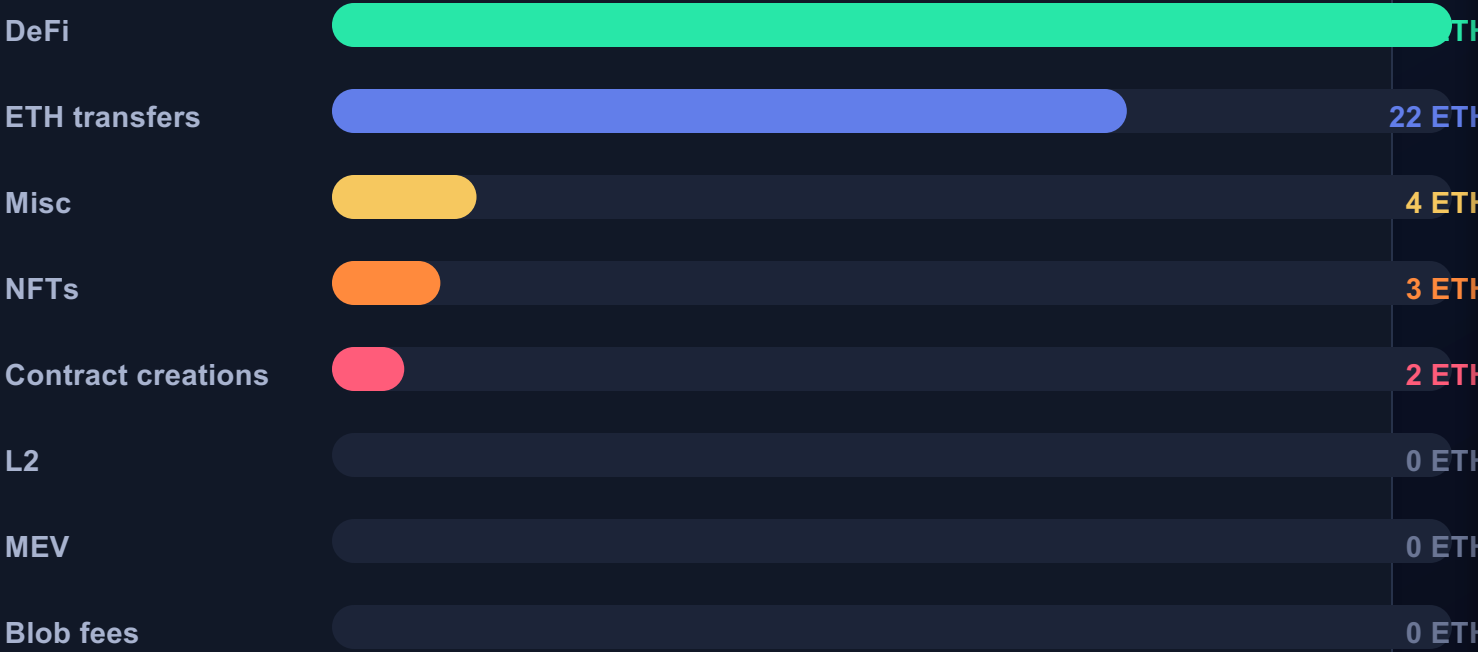
0.15 ETH

\$319 over 7 days

Low base gas + minimal blob burn
keeps ETH temporarily inflationary.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn categories



Total weekly burn: ~192 ETH

Leaderboard signals

#1 BURN ENTRY

ETH transfers

21.74 ETH

#2 BURN ENTRY

Tether USDT

13.55 ETH

Recent blocks burned only 0.00–0.01 ETH per block; the 7-day burn record was 0.07 ETH in a single block.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

ETH STAKED

38.9M

~32% of supply

SCARCITY LOCK

9.1M ETH

staking contracts

AVG LOCK SPAN

10.7 years

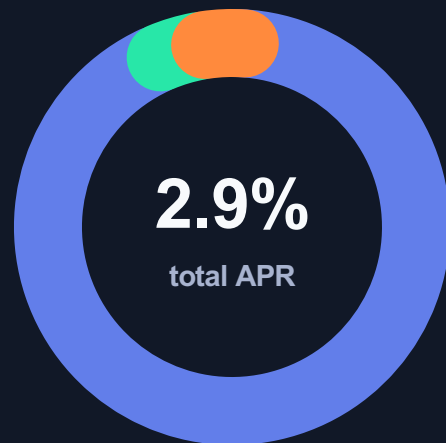
scarcity engine

TOTAL REWARDS

~2.9%

validator APR

Validator reward APR composition



■ Issuance 2.7%

■ Tips 0.1%

■ MEV estimate 0.1%

Issuance-dominant rewards

Issuance: 0.9 ETH/validator and 2.7% APR.

Tips: 0.0 ETH and 0.1% APR.

MEV estimate: 0.0 ETH and 0.1% APR.

Staked ETH reduces liquid monetary float

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Balance

200-year trajectory: current supply converges toward equilibrium



Historical era transitions referenced in 2-year supply view:
Genesis 5 ETH/block → Byzantium 3 → Constantinople 2 → phase 0 staking → London burn → merge PoW removal

Projection inputs

STAKED ETH
39M

BASE GAS
22 Gwei

BALANCE POINT
1,037K ETH/yr

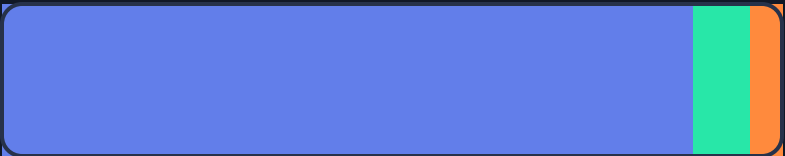
Daily issuance - burn:
2.8K ETH/day PoS issuance
2.2K ETH/day normalized burn

Source: source_brief.md; line is a schematic convergence view using only sourced endpoints and parameters

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

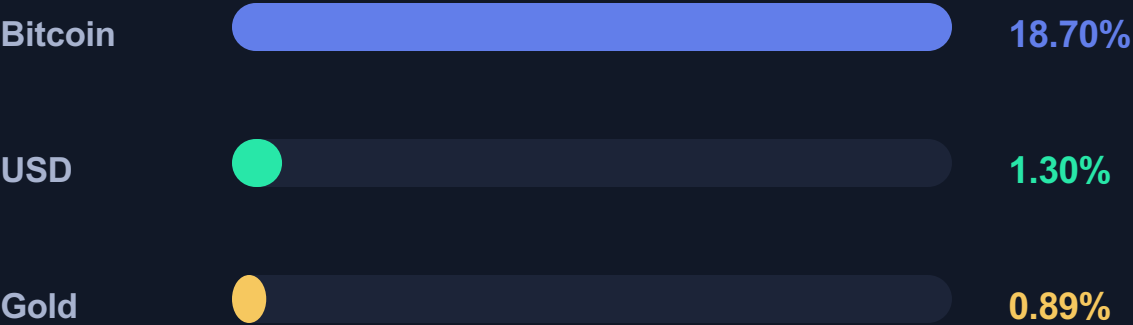
Total Value Secured composition

~\$307.6B total



- ETH native \$272.76B
- ERC20s \$22.21B
- NFTs \$12.66B

Monetary premium markers



Selected constituents

ERC20s: Dai \$4.41B, SHIB \$3.51B, Cronos \$2.97B, Tether Gold \$2.65B
NFTs: CryptoPunks \$2.13B, BAYC \$0.68B, ENS \$0.63B, Pudgy Penguins \$0.51B

Key Takeaways: Thesis Intact, Gas Activity Is the Critical Variable

1

Currently inflationary

+0.83%/year with avg gas at 0.1 Gwei and 0.01x burn offset.

2

Burn mechanism works

But it requires sustained on-chain activity to matter monetarily.

3

Staking creates supply lock

38.9M ETH staked; 9.1M ETH locked for 10.7 years on average.

4

Equilibrium remains structural

125.7M ETH model balance needs 22 Gwei and 1,037K ETH/year burn/issue

5

Premium is early but real

18.7% of Bitcoin market cap and over \$307B TVS secured.

Conviction frame: ETH monetary scarcity is activity-sensitive, not activity-independent.